

driver now wants a two-wheeler or a refrigerator or a fancy mobile phone. "Surplus money in smaller centres gets converted into gold and does not always go to the bank. We are now dealing with the aspirational Indian," he explains. To him, the company's core borrower is really someone like the traditional joint family but with its members operating multiple businesses. "We address this middle-income group with our vast product range. With a larger entity, there is the advantage of access, service and we have a better view of his income."

Left to the group, the merger would have fructified much earlier. Chakravarti points out that the IL&FS crisis and, later, what transpired at Dewan Housing Finance delayed the process. "It was a period of turmoil and we have now come off that hibernation. As a group, the focus on high asset quality has increased, and the economy is a lot more stable," he says.

Keeping the insurance businesses out of the merger is not led by just a legal requirement but to the management, it makes sense as well. According to Chakravarti, the value proposition for insurance will be stronger than lending: "It is a highly underpenetrated business in India, and we can look at several options to unlock value." Listing at a later date is obviously an option, and the management is not unaware of the performance of its peers such as HDFC Life, ICICI Prudential and ICICI Lombard.

Gautam Duggad, Head of Research (Institutional Equities), Motilal Oswal Financial Services, points to how the two key businesses are positioned. "Shriram Transport has a virtual monopoly in the used commercial vehicle (CV) financing segment. However, its loan growth, like other vehicle financiers, is vulnerable to cyclicity in new vehicle volumes," he says. Likewise, Shriram City Union Finance has a presence in multiple



IT JUST HAPPENED THAT WE STARTED OFF IN THE COMMERCIAL VEHICLES BUSINESS SINCE ACCESS TO CREDIT WAS LIMITED. OVER TIME, IT HAS EXTENDED TO NON-TRANSPORT AREAS SUCH AS SMEs. THE CUSTOMER IS MOST IMPORTANT IN THIS ENTIRE PIECE

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product segments such as MSME, two-wheelers, gold and personal loans. "It has had its own share of problems in accessing liquidity whenever the external environment became tough for NBFCs," says Duggad.

Here is really where the merger makes strategic sense. According to him, Shriram Finance (the one company that will finally exist as a result of the merger), can offer a diversified bouquet of products to its customers. "The loan growth of this entity will be less vulnerable to cyclicity in vehicle finance. Moreover, a diversified and larger loan book means credit agencies will look more favourably at it and, potentially, this could result in some savings on the cost of borrowings," adds Duggad.

Of course, the synergy benefit outweighs anything else by a distance. Pritish Kandoi, EVP (Investment Banking), ICICI Securities, one of the advisors to the merger, says it is likely to come from a host of factors: "Among them are a cross-sell of loan and insurance products, cost of funds, and opex benefits through improved